troublesome factor can be held in check only be educating or by effectively cautioning the general public on the interpretation of investment-trust reports. The prospects of accomplishing this are none too bright.

Profits Through Repurchase of Senior Securities at a Discount. At times a substantial profit is realized by corporations through the repurchase of their own senior securities at less than par value. The inclusion of such gains in current income is certainly a misleading practice, first, because they are obviously nonrecurring and, second, because this is at best a questionable sort of profit, since it is made at the expense of the company's own security holders.

Example: A peculiar example of this accounting practice was furnished as long ago as 1915 by Utah Securities Corporation, a holding company controlling Utah Power and Light Company. The following income account illustrates this point:

Year Ended March 31, 1915

Earnings of Utah Securities Corporation including surplus of subsidiaries accruing to it	$ 771,299
Expenses and taxes	30,288
Net earnings	$ 741,011
Profit on redemption of 6% notes	1,309,657
Income from all sources accruing to Utah Securities Corporation	$ 2,050,668
Deduct interest charges on 6% notes	1,063,009
Combined net income for the year	$ 987,659

The foregoing income account shows that the chief "earnings" of Utah Securities were derived from the repurchase of its own obligations at a discount. Had it not been for this extraordinary item the company would have failed to cover its interest charges.

The widespread repurchases of senior securities at a substantial discount constituted one of the unique features of the 1931–1933 depression years. It was made possible by the disproportion that existed between the strong cash positions and the poor earnings of many enterprises. Because of the latter influence the senior securities sold at low prices, and because of the former the issuing companies were able to buy them back in large amounts. This practice was most in evidence among the investment trusts.